



Interest Rate Spillovers to the Brazilian DI Curve

5-Country VAR: US, EU, CA, BR, UK
Nelson-Siegel Level, Slope, Curvature

Rates Research | 5 May 2026

Methodology: 5-Country VAR on Nelson-Siegel Factors

We decompose five government yield curves (US, EU, CA, BR, UK) into Level, Slope, and Curvature via Nelson-Siegel ($\lambda = 0.10$). A 15-variable VAR(1) is estimated on weekly data (2005–2026, $N = 1112$ obs).

Cholesky ordering: US $\rightarrow$ EU $\rightarrow$ CA $\rightarrow$ UK $\rightarrow$ BR

Rationale: BR is placed last as the “receiver” of interest. US is most exogenous (global reserve currency).

Granger Causality Tests ($\alpha = 5\%$)

Source	BR Factor	F-stat	p-value	Sig.?
US	Level	2.36	0.070	Not sig.
US	Slope	2.64	0.048	Sig.
US	Curvature	2.60	0.050	Not sig.
EU	Level	1.25	0.290	Not sig.
EU	Slope	1.27	0.283	Not sig.
EU	Curvature	2.50	0.058	Not sig.
CA	Level	2.94	0.032	Sig.
CA	Slope	3.24	0.021	Sig.
CA	Curvature	3.11	0.025	Sig.
UK	Level	2.13	0.095	Not sig.
UK	Slope	2.18	0.088	Not sig.
UK	Curvature	2.57	0.053	Not sig.

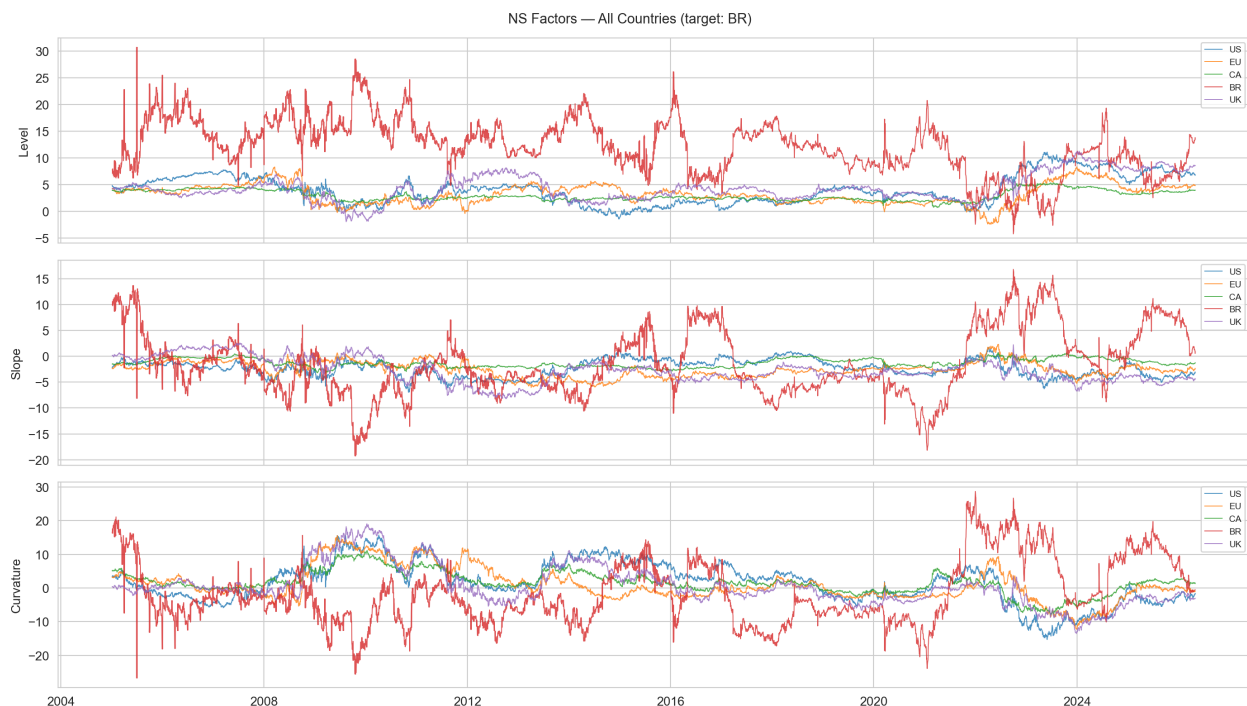


Figure 1: Nelson-Siegel factors for all 5 countries (2005–2026). BR highlighted as the target curve.

Shock Propagation to Brazil

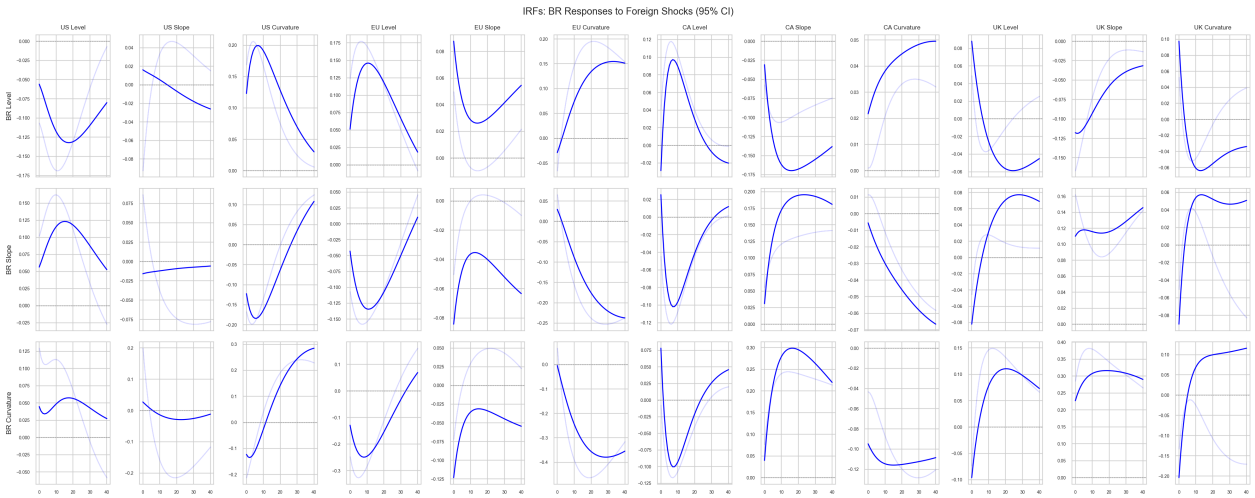


Figure 2: Orthogonalised IRFs: BR factor responses to foreign shocks over 40 weeks. Blue shading = 95% bootstrap CI.

FEVD at 52-Week Horizon (% of variance)

	US	EU	CA	BR	UK
BR Level	7.4	7.9	7.5	74.6	2.6
BR Slope	4.9	10.0	7.9	72.0	5.2
BR Curvature	3.6	10.0	6.0	72.0	8.4

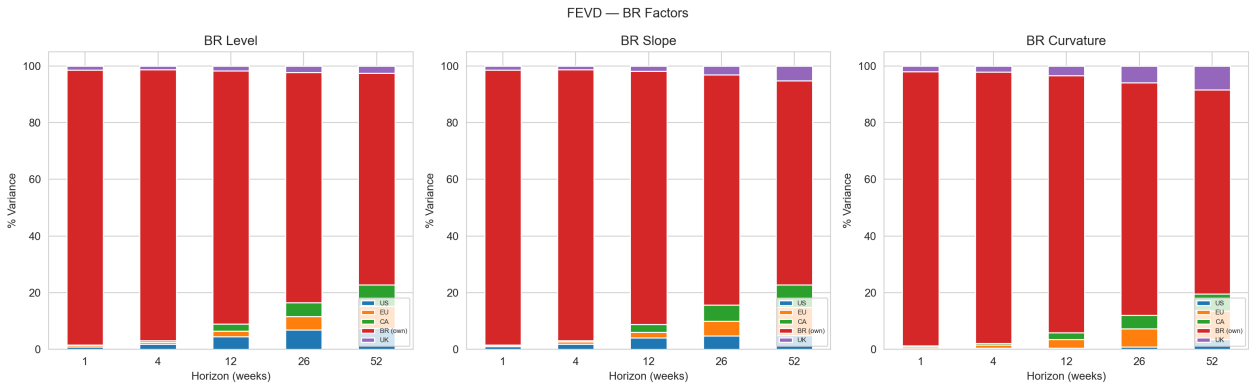


Figure 3: FEVD: share of BR factor forecast error variance by source country at horizons 1–52 weeks.

Brazil: Market Context (May 2026)

Macro & Fiscal Backdrop

- **Inflation:** IPCA at 5.5% (Mar 2026), above target ceiling (4.5%). Food and energy pressures persistent.
- **Growth:** GDP grew 2.1% in 2025. Fiscal stimulus supporting consumption.
- **COPOM:** Selic at 14.75%, hiked 50bp in March. Forward guidance signals further tightening.
- **Fiscal:** Primary deficit at 0.8% of GDP. New fiscal framework credibility under pressure.
- **FX:** BRL/USD at 5.80, depreciation adds to imported inflation.

Key Drivers Ahead

1. **Highest own-determination:** BR curve is the most insular (73% own-variance across all factors). Domestic monetary policy and fiscal credibility dominate.
2. **Limited foreign spillover:** No single foreign block explains more than 10% of BR variance. Brazil's high carry and idiosyncratic risk dominate.
3. **EU as largest foreign driver (~10%):** Likely via risk sentiment and European investor flows into EM.
4. **Fiscal credibility:** The binding constraint. Any spending cap revision would widen DI rates sharply.
5. **Selic path:** Market expects terminal rate of 15.25%. Any overshoot reprices the entire curve.

Data: US: FRED (constant-maturity Treasury rates), EU: ECB Statistical Data Warehouse (AAA-rated), CA: Bank of Canada Valet API (benchmark bonds), BR: IPEA/ANBIMA (DI pre-fixed yield curve), UK: Bank of England IADB (nominal spot curve). Model: VAR(1) on weekly NS factors, sample 2005–2026 (1112 obs). This document is for informational purposes only and does not constitute investment advice.